

U.S. Machinery

Global Electrical Infrastructure: Pulse check on the data center build out, power gen lead times and international competition



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Earlier this week, we met with the head of procurement at a leading data center developer, who also recently worked at a top 5 US electrical contractor. Below are the top 3 takeaways from our conversation, which focused on the growing obstacles to data center construction, the supply/demand environment in power generation (BTM + standby) and how China's electrical equipment manufacturing footprint is expanding into the US under the radar.

It is harder to build a data center today than a year ago. More delays/cancellations in the first 4-5 months of this year than entirety 2025, driven by public aversion (power prices, water usage, job losses). This uncertainty is forcing developers to hedge by multi-tracking the same data center build in different geographic locations. The expert anticipates 60-65% of projects in pipeline to proceed as scheduled. As such, OEMs, particularly power gen (**CAT, CMI**, etc.), are stepping efforts up to protect backlog quality: higher project viability standards (permits, financing & offtake), OEMs adding first right of refusal to buy back equipment into contract if a project gets delayed. Although power remains a critical bottleneck, the skilled labor shortage is getting worse, especially amongst high voltage electricians, commissioning specialists, electrical/utility engineers and substation construction crews – the shortage of immigrants, which usually represent 1/3 of the total labor, is a massive hindrance. As a result, data center construction is becoming more modular and the data center in a box concept will grow as rack density increases. OEMs and MEP contractors like **ETN, HUBB, LGN, PWR, FPS** who either are expanding their in-house fabrication capacity or sell equipment that enables modularization (e-houses, tc.) will benefit.

Power Gen lead times remain long, pricing growth moderating. Power redundancy for this expert is 1.3-1.5x the IT load for behind the meter and 1.0x for standby diesel generation, which is slightly above what we model (1x & 0.8x, respectively). This expert increasingly prefers turbines over reciprocating engines as data center size increases, though reciprocating engines remain an attractive option if time to power is the priority or if data center scale is in the 20-80 MW range. Lead time remain elevated – out to 2030 for turbines, 2029-30 for large recip (10-20 MW), while Tier 4 diesel standby has a 2 year lead time, Tier 2 diesel standby is 12-18 months, while <2MW diesel standby is <1 year. Pricing growth is slowing across the board, with the expert citing modest inflation vs. the +30-50% previously, driven by expanding capacity, new competitors and equipment becoming available from canceled/delayed projects (mainly talk thus far). Though, data center operators remain willing to pay a premium on the grey market to sidestep lead times. As for contract terms, OEMs are requiring higher down payments, 20% vs. the more traditional 10%.

China finding the back door into the US? Domestic OEMs are forging offshore partnerships for capacity. **Siemens** is now directing China-manufactured transformers into the US (recent development). **GEV** working with XD for high voltage breakers out of China, while **ETN** has taken a stake in a transformer manufacturer in China. This approach gives customers a piece of mind – they are getting a tier 1 design, but with offshore manufacturing capacity.

BERNSTEIN TICKER TABLE

Ticker	Rating	16 Jul 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CAT (Caterpillar)	M	USD	877.17	1,002.00	92.2%	USD	19.08	25.90	31.13	46.0	33.9	28.2
CMI (Cummins)	M	USD	647.83	700.00	67.2%	USD	20.51	27.35	32.25	31.6	23.7	20.1
ETN (Eaton)	O	USD	396.27	534.00	(11.1)%	USD	12.07	13.45	16.37	32.8	29.5	24.2
HUBB (Hubbell)	O	USD	482.04	584.00	(5.1)%	USD	18.33	19.70	21.95	26.3	24.5	22.0
J (Jacobs)	O	USD	132.31	163.00	(24.2)%	USD	6.12	7.27	8.33	21.6	18.2	15.9
LGN (Legence)	O	USD	69.13	103.00	NA	USD	298.82	479.93	567.27	29.6	18.4	15.6
PWR (Quanta Services)	M	USD	631.02	725.00	41.9%	USD	10.75	13.90	15.84	58.7	45.4	39.8
SU.FP (Schneider)	O	EUR	264.35	310.00	0.8%	EUR	8.43	10.22	11.95	31.4	25.9	22.1
SIE.GR (Siemens)	O	EUR	269.30	300.00	5.0%	EUR	12.23	10.73	10.83	26.6	23.9	23.5
LR.FP (Legrand)	O	EUR	137.70	170.00	5.4%	EUR	5.22	6.01	6.80	26.4	22.9	20.3
ABBN.SW (ABB)	M	CHF	78.26	70.00	47.1%	USD	2.56	2.93	3.23	37.9	33.0	30.0
ENR.GR (Siemens Energy)	O	EUR	147.06	210.00	42.1%	EUR	1.63	4.21	5.84	90.3	34.9	25.2
PRY.IM (Prysmian)	O	EUR	131.30	110.00	97.8%	EUR	5.8	7.0	7.5	30.5	28.7	24.1
SPX			7,533.77									
EDME			1,598.24									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

LGN estimate is EBITDA (M); SIE.GR estimate is Reported EPS Organic Sales Growth (%) EBITA (M); ENR.GR estimate is Reported EPS; PRY.IM estimate is Organic Sales Growth (%); LGN valuation is EV/EBITDA (x); ENR.GR valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

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US Machinery and Electricals: We rate Market-Perform Caterpillar (PT:\$1,002), Cummins (PT:\$700), Quanta Services (PT:\$725) and Outperform Eaton (PT:\$534), Hubbell (PT:\$584), Jacobs (PT:\$163) and Legence (PT:\$103)

European Capital Goods: We rate Schneider (PT €310), Siemens (€300), Legrand (€170), Siemens Energy (€210), and Prysmian (€110) Outperform, and rate ABB (CHF 70) Market-Perform.

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